

Meridian Fabrication — Q1 2025 Covenant Package — Intake Readout

Borrower: Meridian Fabrication LLC · **Period:** TTM ended 3/31/2025 · **Package received & reviewed:** 2026-06-13
Prepared for: Sarah (RM) · Intake review only — facts, not a credit judgment (§4.2)

1. What's in the package

Six PDFs arrived. Five were processed; one was refused on intake.

Document	Classified as	Status
meridian_covenant_compliance_certificate_Q1-2025.pdf	Covenant compliance certificate	Extracted
meridian_financial_statement_Q1-2025.pdf	Financial statement (unaudited, mgmt-prepared)	Extracted
meridian_ar_aging_2025-03.pdf	A/R aging report	Extracted
meridian_management_representation_letter.pdf	Management representation letter	Extracted
meridian_certificate_of_insurance.pdf	Other (ACORD 25 insurance cert)	Skipped — not part of covenant package
meridian_guarantor_personal_financial_statement.pdf	Guarantor personal financial statement	Refused on intake (§2.1) — never sent to a model

2. Do the ratios reconcile?

No — they reconcile only on Adjusted EBITDA, not on the GAAP financials in the package. Both certified covenants pass as certified; both fail when recomputed on the unadjusted financials, and the bank's own records corroborate the recomputed figures.

Covenant	Threshold	Certified	Recomputed (GAAP)	Bank loan performance (2025-05)
DSCR	≥ 1.20x	1.23x	1.03x	1.03x
Total Net Leverage	≤ 4.00x	3.76x	4.5x	4.5x

- **DSCR** — recomputed 1.03 = GAAP EBITDA 10,100 [financial_statement:ebitda_gaap] ÷ total debt service 9,800 [financial_statement:total_debt_service]; certified 1.23 [covenant_compliance_certificate:certified_dscr]; bank loan_performance 1.03 [check_covenant_compliance, 2025-05]. Certified clears the 1.20 minimum; recomputed is below it.
- **Leverage** — recomputed 4.5 = total funded debt 45,450 [financial_statement:total_funded_debt] ÷ GAAP EBITDA 10,100 [financial_statement:ebitda_gaap]; certified 3.76 [covenant_compliance_certificate:certified_leverage]; bank loan_performance 4.5 [check_covenant_compliance, 2025-05]. Certified is within the 4.00 maximum; recomputed is above it.
- **What drives the gap — the EBITDA add-back bridge.** Adjusted EBITDA 12,100 [covenant_compliance_certificate:adjusted_ebitda] vs GAAP EBITDA 10,100 [financial_statement:ebitda_gaap] = 2,000 of add-backs [covenant_compliance_certificate:addbacks]: non-recurring legal & restructuring 800; owner/management compensation normalization 700; non-cash equity compensation 300; pro-forma run-rate cost savings 200. Applying these 2,000 of add-backs is what moves both ratios from breach to compliant. The add-back support is for the RM to review.
- **Cross-source agreement:** the recomputed figures and the bank's loan_performance agree (1.03 / 4.5).

3. What's missing or outstanding

Missing documents (per the Feb-14 follow-up list):

- Aerospace purchase order — not received.
- Cash-flow projections — not received.

Outstanding data element:

- A/R aging customer names — the 60–90 day automotive balances are unnamed [ar_aging_report:customer_names_present=false].

4. Quality flags

- **Management representation letter is unsigned** [management_representation_letter:signed=false] — not executed; cannot be relied on as delivered.
- **A/R customer names withheld** [ar_aging_report:customer_names_present=false] — aging buckets are present (total A/R 9,800; current 5,200; 1–30 2,100; 31–60 1,300; 61–90 900; 90+ 300) but customer-level names are absent.

5. §2.1 refusal

- The guarantor personal financial statement was refused at intake and never sent to any model (§2.1 restricted input).

Sources & basis

All figures are tagged to document + field. Ratios were recomputed deterministically by cross_validate_covenant on the unadjusted (GAAP) financial statement and corroborated against the bank's loan_performance via check_covenant_compliance (2025-05). Classification and extraction by the centerline document-intelligence tools. Completeness and quality from review_package. This is an intake review; the credit judgment — including whether the certified add-backs are permitted — rests with the RM.

Reliability: Partial · 5 low-confidence input(s) · 2 cross-source mismatch(es) (Requires RM review before client/credit-file use — §4.3)